bestoasis

Recycling with the Best

Weekly Ship Recycling Report

16 December 2023 - 22 December 2023

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Highlights of the Week

As the holiday season of Christmas and New Year draws near, we extend our heartfelt wishes to our esteemed readers for a joyous Christmas and a prosperous New Year.

The ship recycling industry has exhibited a sluggish pace of activity across all destinations. In the Indian market, there was a notable decline characterized by a decrease in prices up to 25 USD. Furthermore, it is worth noting that the demand for recycled materials and vessels is quite low. The current state of affairs in Bangladesh continues to exhibit a distressing condition, mirroring the circumstances observed in the preceding week, characterized by a prominent absence of demand and a complete absence of sales. Currently, Pakistan is encountering challenges in the process of opening LC and managing a sluggish market. Turkey, a country that has experienced a period of notable progress in the past, is currently facing stress and is projected to undergo a decline in the near future.

The price of oil increased by approximately 2% due to concerns among investors regarding potential disruptions to maritime trade and rising supply costs following an attack on ships in the Red Sea by the Iran-aligned Yemeni Houthi militant group.

Exchange Rates:

USD / INR ₹

This Week	83.11
Previous Week	83.22
Gained	0.11

USD / BDT ৳

This Week	109.73
Previous Week	109.74
Gained	0.01

USD / PKR Rs

This Week	279.05
Previous Week	283.17
Gained	4.12

USD / TRY ₺

This Week	29.21
Previous Week	29.04
Lost	0.17

India

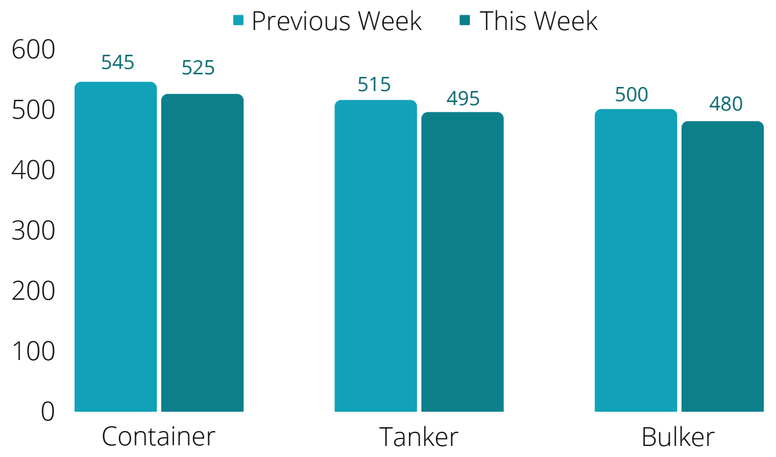
The market observed a downturn and is currently witnessing a decrease in demand.

- The market experienced a decline, with prices plummeting to approximately 20-25 USD.
- A significantly low level of demand is observed for recycled materials and vessels in the current market.
- The expected growth rate of steel demand in India for the fiscal year 2024-25 is between 7% and 10%. This growth rate is comparatively slower than the projected growth rate of 11% to 12% for the current fiscal year, which extends until March 2024.
- The IMF has expressed apprehensions regarding the enduring viability of India's debt obligations. It has been brought to attention that the general government debt is anticipated to surpass 100 percent of India's gross domestic product (GDP) in the foreseeable future. The need for substantial investment to achieve climate change targets was also a prominent focal point.

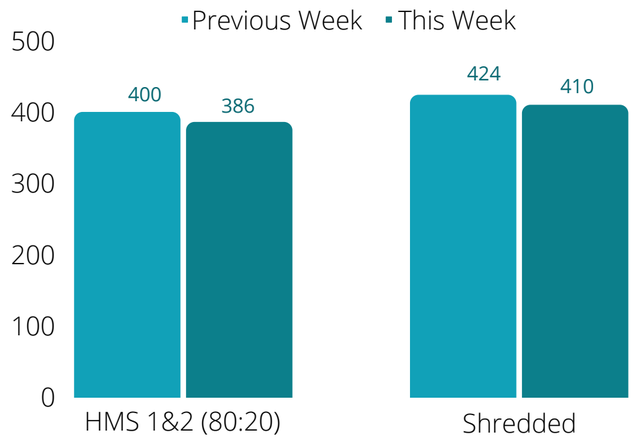
Beaching Dates

09 January to 17 January 2024
23 January to 30 January 2024
08 February to 15 February 2024

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

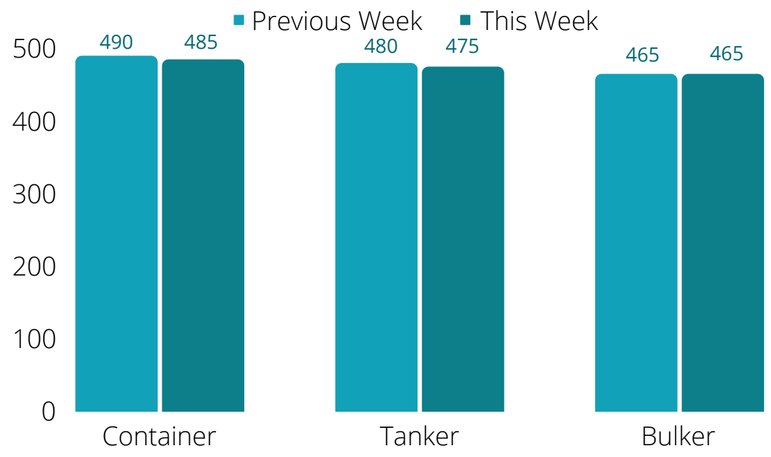
The market is in distressed state - devoid of sales, lacking demand, and inadequate interest.

- The market is currently experiencing a noticeable slowdown in activity, and there doesn't seem to be any consumer interest or demand.
- A lack of sales has only worsened this lackluster performance and added to the general feeling of stagnation in the market.
- The government of Bangladesh has requested a USD 500 million loan from the "Second Recovery and Resilience Development Policy Credit" of the World Bank to stabilize the economy and replenish its foreign exchange reserves, which have fallen to extremely low and alarming levels.
- Bangladesh's economic growth is predicted to slow by 0.3 percentage points to 6.2% in the current fiscal year due to a slowing economy and widespread uncertainty surrounding the January election.

Beaching Dates

26 December to 29 December 2023
13 January to 16 January 2024
28 January to 31 January 2024

Price for Recycling Ships in Bangladesh



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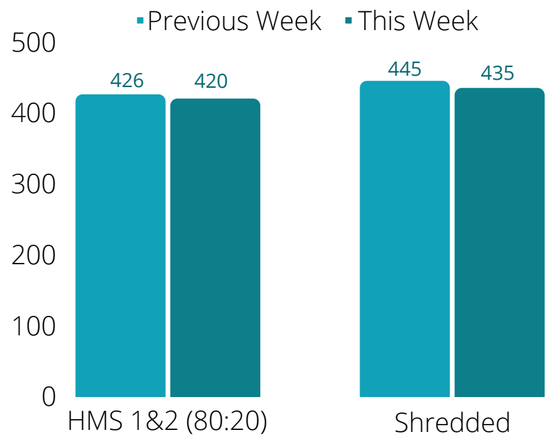
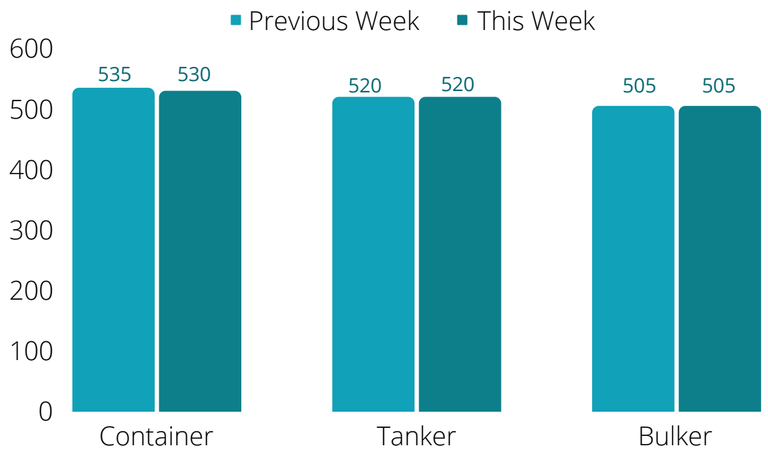


Pakistan

The market is characterized by a sluggish performance, and LC issues persist.

- The pace of market activity is currently lackluster.
- The current market conditions have led to a significant decrease in the prices of ship plates.
- At present, both banks and recyclers find themselves in an impasse where they are unable to initiate the opening of LCs as the year draws to a close.
- The World Bank authorized a financing of USD 350 million for the Second Resilient Institutions for Sustainable Economy (RISE-II) initiative in Pakistan. The primary objectives of RISE-II are to enhance fiscal management and foster competitiveness to facilitate inclusive and sustainable economic expansion in a nation grappling with stagnant foreign reserves, persistently high inflation, and limited growth prospects.

Price for Recycling Ships in Pakistan



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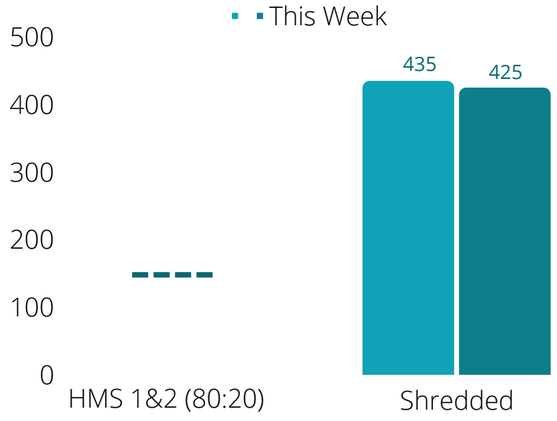


Beaching Dates

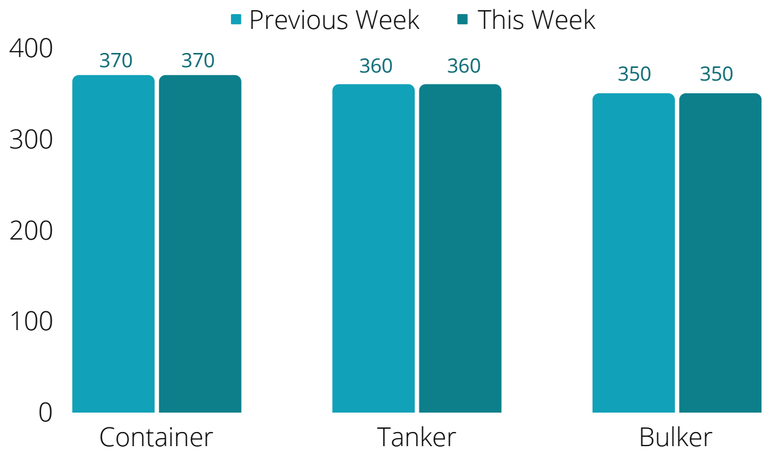
Throughout the month

Türkiye

The market appears to be experiencing some stress and may face a decline.

- The present market conditions seem relatively stable, yet they are displaying indications of strain and are expected to undergo a decline in the near future.
- The Central Bank of Turkey has implemented a significant increase of 250 basis points, bringing its main interest rate to 42.5 percent.
- The Turkish lira is still losing value compared to the US dollar, although it is doing so considerably more slowly now than it did in the first half of the year.

Price for Recycling Ships in Türkiye



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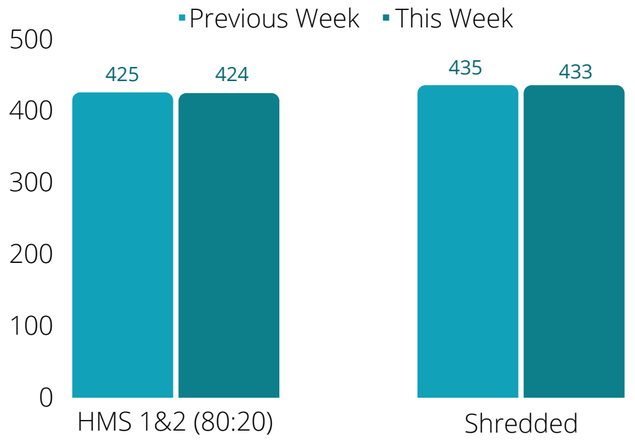
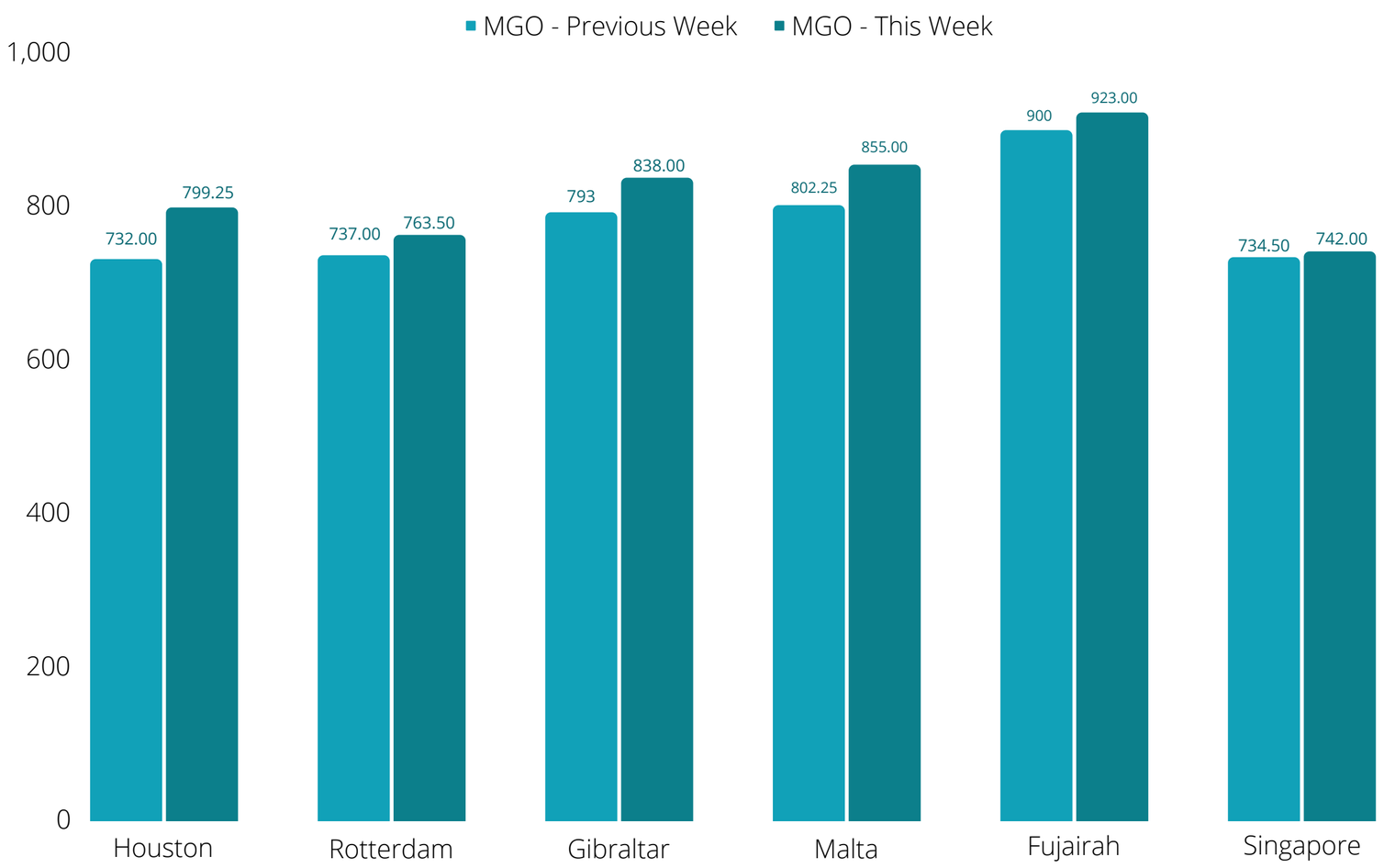


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 80.23
Previous Week	: 76.82
Movement	: +3.41

WTI Crude

This Week	: 74.79
Previous Week	: 71.74
Movement	: +3.05

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
SEAS	TANKER	9032666	1992	JAPAN	8,579	DELIVERED	ALANG, INDIA	UNDISCLOSED
IBRA	HOPPER DREDGER	8505678	1986	NETHERLANDS	4,960	DELIVERED	ALANG, INDIA	UNDISCLOSED
CHIME	FISH FACTORY	7610426	1979	POLAND	5,071	DELIVERED	ALANG, INDIA	UNDISCLOSED
SAS 4	OSV	8921016	1991	UNITED KINGDOM	935	DELIVERED	ALANG, INDIA	UNDISCLOSED
SOL VALOUR	CONTAINER	9146285	1997	SOUTH KOREA	3,827	AS-IS	COLOMBO	UNDISCLOSED
AT MIDDLE BRIDGE	GENERAL CARGO	8902838	1989	JAPAN	3,434	DELIVERED	ALANG, INDIA	UNDISCLOSED

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